

CNBC News – ExxonMobil Lawsuit against activist shareholder

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The oil major has accused Arjuna Capital and Follow This of being driven by an "extreme agenda" and claimed they both submit shareholder proposals to undermine the firm's business.

In its filing, Exxon Mobil said that it requires relief from the court by March 19, because it must file its proxy statement by April 11. The Houston-based firm is scheduled to hold its annual shareholder meeting on May 29.

"With this remarkable step, ExxonMobil clearly wants to prevent shareholders using their rights," Follow This' Mark van Baal said in a statement. "Apparently, the board fears shareholders will vote in favour of emissions reductions targets."

He added, "Maybe they see the writing on the wall."

Follow This said that it and Arjuna Capital filed a proposal, commonly referred to as a climate resolution, for Exxon Mobil's upcoming annual meeting in compliance with their shareholder rights and SEC regulations.

"Investors face economy-wide risks from climate change," Natasha Lamb, co-founder and chief investment officer at Arjuna Capital, said in a statement.

“We have a fundamental right and duty to voice concern over climate risk, its impacts on the global economy and shareholder value.”

Exxon Mobil says that it supports measures to reduce emissions and that the lawsuit is not specific to environmental, social and corporate governance. It adds that the lawsuit intends to fix what the oil major describes as a broken process that the company holds is being abused.

Scope 3 emissions

Arjuna Capital and Follow This have sought to put pressure on oil majors to establish so-called Scope 3 targets to reduce greenhouse house gas emissions produced when burning oil and gas.

Scope 3 refer to the emissions produced from across a company's entire value chain, and often account for the lion's share of a firm's carbon footprint.

Scope 1 emissions meanwhile refer to a firm's direct greenhouse gas emissions, while Scope 2 are indirect emissions that stem from the production of the energy used on a firm's behalf.

Exxon Mobil has [announced](#) plans to reach net zero by 2050 for Scope 1 and Scope 2 emissions. This target does not include Scope 3 emissions, and shareholders of the company [overwhelmingly voted to reject](#) calls for stronger measures to mitigate climate change last year.